

til 1982. In August of that year a quiet, dull market was transformed instantly into an enormously powerful bull market on record volume. Why did it happen? Because all portfolio managers wanted to do the same thing at the same time. The herd instinct at work once again.

I didn't know when the market would revive, but I knew it wouldn't stay that cheap forever, so I spent the last half of the seventies gathering bargains. I bought real estate stocks, for example. Herd attitudes were my tip-off. One old friend in the business reminded me that "no institution will ever invest in real estate stocks." Another buddy told me, "Our bank has no real estate stocks on the approved list. We lost too much money in real estate investment trust shares."

I thanked them both sincerely for their advice and immediately bought some Koger Properties and some more Continental Illinois Properties. One sign that the realty stocks were ripe for picking: real estate stocks were then much cheaper than real estate assets. Both American and foreign investors were bidding ten to fourteen times cash flow for quality real estate, while real estate stocks could be bought for five to ten times cash flow. Another signal: the banks' investment people hated the stocks at the same time that their commercial loan departments were loading up on mortgages. Whenever you know that one end of a bank is doing one thing and the other end of the same bank is doing another thing, there's an arbitrage profit potential at hand.

But, you say, real estate eventually took a dive. Yes, but not until eight years later; real estate peaked in 1985. If you can be right for eight years, you're close enough.

Anytime you learn that a group of stocks is despised by an important class of investor—like the largest banks or mutual funds—but you know there are basic values in the group, you can be pretty sure that at some point those people who hate the stocks will come around to adoring them. I'm sure those who advised me to stay away from the real estate stocks were the same persons who took